

	suspension, may the corporation prosecute or defend an action, seek a writ of mandate, appeal from an adverse judgment, or renew a judgment obtained before suspension.”[.]”) The purpose of section 23301 “is to ‘prohibit the delinquent corporation from enjoying the ordinary privileges of a going concern,’ and to pressure it to pay its taxes.” (<i>Id.</i> [citations omitted].) “A suspended corporation can regain its corporate powers by filing all required tax returns, paying the necessary taxes, penalties or fees due, and applying to the Franchise Tax Board for a certificate of revivor. [.] This reinstatement or revivor generally is ‘without prejudice to any action, defense or right which has accrued by reason of the original suspension or forfeiture[.]’” (<i>Center for Self-Improvement & Community Development v. Lennar Corp.</i> (2009) 173 Cal.App.4th 1543, 1553, citing Rev. & Tax. Code § 23305.) Further, “a plaintiff may not take the defendant’s default by virtue of the defendant’s inability to defend due to suspension of corporate powers, where the defendant consummated revival proceedings upon the grant of a continuance.” (<i>Id.</i>) Pursuant to California Revenue and Taxation Code section 23301, “the corporate powers, rights and privileges of a domestic taxpayer may be suspended” if it does not pay its taxes. “The suspension of the corporate powers, rights, and privileges means a suspended corporation cannot sue or defend a lawsuit while its taxers remain unpaid. [Citation.] Once a suspended corporation pays its taxes and obtains a certificate of revivor, however, the corporation may be allowed to carry on the litigation. [Citation.] Its revivor will validate most otherwise invalid prior proceedings in the case. [Citation.]” (<i>Kaufman & Broad Communities, Inc. v. Performance Plastering, Inc.</i> (2006) 136 Cal.App.4th 212, 217-218.) Plaintiff seeks to strike the Cross-Complaint filed by Defendant Gunlei Corporation on the basis that Gunlei is forfeited by the Franchise Tax Board and thus lacks legal capacity to maintain its Cross-Complaint. Gunlei evidently obtained a Certificate of Revivor from the Franchise Tax Board in May, 2026. (See ROA 836 and Secretary of State’s online business search tool.) Therefore, the motion to strike is DENIED. Plaintiffs and Cross-Defendants William and Jennifer Young shall give notice of this ruling.
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